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Materialise NV · 21 turns · 6 participants

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Managing Director, Alliance Advisors

OPERATOR Conference Call Operator

Hello, and welcome to the Q1 2026 Materialize NV Financial Results Conference Call. At this time, all participants are in a listen-only mode. After the speaker presentation, there will be a question and answer session. To ask a question during the session, you will need to press star 11 on your telephone. You will then hear an automated message advising your hand has been raised. To withdraw your question, please press star 11 again. Please be advised that today's conference is being recorded. It is now my pleasure to introduce Managing Director at Alliance Advisors, Jody Berfening.

JODY BERFENING Managing Director, Alliance Advisors

Good morning, and thank you for joining us today for Materialize's quarterly conference call. With us on the call are Brigitte DeVette, Chief Executive Officer, and Kuhn Berges, Chief Financial Officer. Today's call and webcast are being accompanied by a slide presentation that reviews Materialize's strategic financial and operational performance for the first quarter of 2026. To access the slides, if you have not done so already, please go to the investor relations section of the company's website at www.materialize.com. The earnings press release that was issued earlier today can also be found on that page. Before we get started, I'd like to remind you that management may make forward-looking statements regarding the company's plans, expectations, and growth prospects, among other things. These forward-looking statements are subject to known and unknown uncertainties and risks that could cause actual results to differ materially from the expectations expressed, including competitive dynamics and industry change. Any forward-looking statements, including those related to the company's future results and activities, represent management's estimates as of today and should not be relied on as representing their estimates as of any subsequent day. Management disclaims any duty to update or revise any forward-looking statements to reflect future events or changes in expectations. A more detailed description of the risks and uncertainties and other factors that may impact the company's future business or financial results can be found in the company's most recent annual report on Form 20F filed with the SEC. Finally, management will discuss certain non-IFRS measures on today's conference call. A reconciliation table is contained in the earnings press release and at the end of the slide presentation. And now, I would like to turn the call over to Brigitte DeVette. Brigitte?

BRIGITTE DEVETTE Chief Executive Officer

Good morning and good afternoon. Thank you, everyone, for joining us today. You can find the agenda for our call on slide three. First, I will summarize the business highlights for the first quarter of 2026. Then I will pass the floor to Kun, who will take you through the first quarter financials. And finally, I will come back and explain what we expect the remaining months of 2026 to bring. When we've completed our prepared remarks, we'll be happy to respond to ques-

tions. Moving to slide four for the highlights of the first quarter of 2026. As part of our growth strategy, we made decisive portfolio choices in the last quarter that strengthened both materialized and the businesses involved. On March 31st, we announced an agreement to transfer our Rapid Fit business to its management team. Rapid Fit is a specialized business that delivers custom 3D printed jigs, fixtures, and quality control solutions, primarily for the automotive industry. RapidFit will continue as an independent company under the same leadership and under the RapidFit name, allowing the business to operate with greater focus and flexibility as it enters its next phase of growth. This setup enables RapidFit to make decisions closer to its customers and markets while allowing Materialise to concentrate investment and leadership attention on our focus segments. Today, We are announcing a similar step for our eyewear activities. We have reached an agreement to transfer our eyewear business to its management team, allowing it to continue as an independent company. Eyewear is a highly specialized, product-driven business serving as a distinct consumer market. The transfer will allow a new company to operate with greater focus and agility. Materialise will retain a minority stake in a newly formed eyewear company. For Materialise, this decision reflects the same strategic rationale, ensuring that the eyewear business operates in the environment where it can succeed best, while we concentrate our capital and resources on our focus areas. All employees currently supporting the rapid fit and eyewear business will transition to the new companies. Both businesses were part of our manufacturing sector. Financial terms will not be publicly disclosed. Turning now to the highlights in the medical segment. Starting with our CMS market. In February, we expanded our cranio-maxillofacial portfolio with the addition of custom-made PEEG implants. PEEG is often favored by surgeons because its radiolucent nature means it does not appear on imaging the way metal implants do, enabling clearer post-operative scans. Until now, surgeons working with Materialise had titanium as their patient-specific option. With this launch, they have an additional choice. The new offering integrates seamlessly into our existing digital workflow and completes our offering. Surgeons don't adopt a new process, a new platform, or a new partner to access Peak. And this demonstrates the power of Materialise's integrated digital ecosystem. It absorbs new clinical capabilities without adding complexity for the surgeon or the hospital. The custom-made peak implants are now available to surgeons across most European countries. Also in our orthopedics market, we launched OptoView 3D HIP, completing our templating and planning portfolio to serve patients along the full patient continuum of hip surgery, from standard primary hip interventions to more complex surgery. OctoView has long been helping surgeons plan procedures with precision based on x-ray imaging. With OctoView 3D HIP, we're taking that platform beyond x-rays, moving from 2D to CT scan-based planning, enabling a far richer picture of the patient's anatomy before they even enter the operating room. Also in this case, Surgeons do not need to adopt a different process, tool, or a different partner and can serve all patients from the same materialized ecosystem. What makes this launch particularly significant is that it reflects Materialise's unique ability to bring together capabilities from across our portfolio. OctoView 3D HIP combines the deep orthopedic domain knowledge of OctoView with the proven segmentation and anatomical modeling power of our MIMIX technology. The result is a guided workflow that gives surgeons the confidence to plan every case with its accuracy and precision. Both product launches showcase our innovative strengths. in mature market segments, and underscore the position of our ecosystem in the METEC market. Turning to software now. Back in November, Materialise introduced three tailored CoEM solutions to address the industry's growing need for workflow automation and interoperability. CoEM Professional, CoEM NPI, and CoEM Enterprise. Alongside these offerings, we also announced Goyambrix. Goyambrix puts our extensive software expertise in the hands of every user by making it easy to automate complex, recurring processes and eliminate repetitive manual work without requiring advanced programming skills. In the first quarter, we ran an early access program with selected Magix customers, giving them hands-on experience with the CoEM Professional offering of the CoEM platform. At the start of the second quarter, we started a pre-sales program for Magics customers approaching their renewal cycle. We now have seven customers actively onboarding CoEM Pro in May, with full global availability expected from mid-June this year. CoEM Professional is our cloud-based software for managing day-to-day 3D printing operations more efficiently. The pro version is built for teams with multiple

users running several machines across different production sites. It gives teams access to centralized AM data, hence share one source of truth across teams. It also enables easier collaboration across departments and allows users to run repeatable machine agnostic operations, thereby helping customers grow their AM operations from ad hoc use to repeatable production with less manual work. Also, in the first quarter, we continued to expand our partnerships. As a particular highlight, I would like to mention the collaboration with HP. As a recent rapid TCT form, HP unveiled the MGF1200 3D printer. As part of this offering, Materialized Magic Sprint for HP will be included with every machine, ensuring users have access to professional build preparation and workflow capabilities from the start. The MagicSpring for HPE is a dedicated build preparation software that provides professional-grade tools for nesting, part orientation, and build layout, enabling customers to prepare builds quickly and efficiently from day one and simplify the path from design to printed parts. Builder materializes proven software foundation. The solution is designed to grow with customers as their production needs evolve. The collaboration on the MGF-1200 continues the long-standing collaboration between HP and Materialize. At the same time, it gives Materialize broader access to the lower to mid-range market segments, at which the MGF-1200 is targeted with its system price below \$60,000. This aligns with a broader market shift where additive manufacturing is moving from specialized applications into more mainstream manufacturing workflows. The full solution will be available starting in early 2027. Before we move to the first quarter financials, I want to mention two other recent highlights. First, we published our first annual report following our listing on Euronext back in November. The annual report is a European reporting requirement and is now available on our investor website. Secondly, We completed our CSRD sustainability reporting, demonstrating strong progress on our sustainability commitment. I am proud to say that we exceeded our reduction target for greenhouse gas emissions, achieving a total reduction of over 1,500 tons of CO2 across our operations overall rolling two-year cycle. A couple of drivers contributed to this. We switched our standard pH-12 material used in selective laser sintering to a carbon-reduced version. This change became operational in the first quarter of 2025 and translated into an annual saving of over 450 tons of CO2. At our headquarters, the solar park built in 2025 now generates over 40% of the site's electricity needs, significantly reducing reliance on external energy sources and lowering scope 3 emissions.

OPERATOR Conference Call Operator

Turning over to Kun now, who will present the financial results. Thank you Brigitte.

KUHN BERGES Chief Financial Officer

Good morning or good afternoon to all of you on this call. I'll begin with a brief overview of our key financial results shown on slide 6. In the first quarter, revenue was 66.3 million euro, stable year on year despite significant foreign exchange headwinds. Gross profit increased to €37.9 million, resulting in a gross margin of more than 57%, meaningfully up versus last year. We delivered strong improvement in profitability, with an adjusted EBIT reaching €2.5 million and corresponding to a 3.7% margin, demonstrating our ability to convert the stable revenue into a higher operating leverage. net profit for the quarter was at 1.8 million euro or 3 euro cents per share we also further strengthened our balance sheet free cash flow was positive increasing our net cash position to 72.8 million euro up by 2 million euro compared to the start of this quarter i will now walk you through the results in more detail As a reminder, unless stated otherwise, all comparisons are versus the first quarter of 2025. Slide 7 provides an overview of our consolidated revenue. In P1 of 2026, asset revenue remained stable at 66.3 million euro, despite the elevated geopolitical uncertainty, and unfavorable foreign exchange movements, primarily driven by a weaker US dollar versus last year. These forex impacts mainly affected our medical and software segments. Despite this, materialized medical revenue grew by 7% to €33.2 million, while software revenues declined slightly by 1%. On a constant currency basis, medical would have delivered double-digit growth again and software would also have grown year on year. Manufacturing revenue declined by 8%, reflecting continued macroeconomic headwinds. As shown on the

right-hand side, medical represented 50% of our total revenue, with manufacturing at 35% and software at 15%. Our deferred revenue balance for software maintenance and license fees, coming from both medical and software, further increased in Q1 to €49 million. The total deferred revenue reported on the balance sheet stood at €61 million at the end of the quarter. Turning to slide 8, I'd like to highlight the progress we've made on profitability. In the first quarter of this year, adjusted EBIT reached €8 million, an increase of more than 30% year-on-year, resulting in an adjusted EBIT margin of 12.1%. Adjusted EBIT improved sharply to €2.5 million compared to €0.6 million in the prior year quarter, resulting in a 3.7% adjusted EBIT margin. With revenue stable, this margin expansion reflects disciplined cost management, operational efficiencies, and a sharper focus on our core growth segments. Let me now turn to our business segments, starting with materialized medical, shown on slide 9. Medical revenue increased 7% year on year. Growth was driven primarily by medical devices, which grew 11%, supported by both direct and partner sales. Medical software declined 3%, but was mainly due to unfavorable Forex, as a significant part of this revenue is invoiced in US dollars. On a constant currency basis, asset medical revenue as a whole grew 10%. Adjusted EBITDA increased to €9.2 million, representing a 20% margin, while we continue to scale our R&D investments in our medical segment, reflecting our commitment to driving future growth. Slide 10 summarizes the results of our materialized software segments. Software revenues decreased slightly by 1% to €9.6 million, largely due again to foreign exchange. On a constant currency basis, revenue increased by 5%. We continued our transition towards a cloud-based subscription model. During the quarter, 83% of our software revenue was recurring compared to 81% a year ago. Despite the modest revenue decline, adjusted EBITDA increased significantly, by 88% year-on-year to 1.1 million euro, reflecting also here effective cost management and improved operating leverage. Now turning to slide 11, we can see the manufacturing segments. Manufacturing revenue declined 8% to 23.5 million euro. However, revenue increased sequentially versus the prior three quarters. aerospace, defense, and semi-com. This further growth in series manufacturing was offset by continued weakness in prototyping demands. Through disciplined cost control, adjusted EBITDA turned positive again, reaching now €0.3 million despite the lower year-on-year revenue. With the segment results covered, slide 12 outlines our consolidated income statements, showing the drivers behind our improved profitability. Cross-profit increased to €37.9 million, with gross margin expanding to 57.2%, up from the 55.3% of last year. Operating expenses increased by just €0.2 million, or less than 1% year-on-year. R&D and sales and marketing expenses reflecting targeted investments, while at the same time, G&A declined by more than 6% due to ongoing cost discipline. Total R&D spending exceeded more than €11 million for the quarter, with the majority being allocated to medical. Other operating income increased to €0.9 million compared to €0.4 million of last year. As a result, operating profit Net financial income was also positive by 0.4 million, driven by currency effects, interest income and cash balances, and interest expense on debts. Income tax expense was 0.7 million euro. Altogether, we generated positive net results in the first quarter of this year, amounting to 1.8 million euro, representing 3 euro cents per share. Finally, let's review our balance sheet and cash flow position, which remains a key strength for Materialise on slide 13. Our cash reserve at the end of the quarter amounted to €133 million, while our gross debt was further reduced to €60.1 million. The net resulting cash position increased to €72.8 million, up by almost €2 million compared to the beginning of this year, mainly driven by strong free cash flow. Compared to the balance sheet, at year end 2025, networking capital components increased by 2.7 million euro, mainly driven by higher inventory levels of finished products and work in progress. Deferred income increased to 61 million, including the 49 million coming from software licenses and maintenance. As you can see from the graphs on the right side of the page, The operating cash flow in the first quarter amounted to almost €7 million, and capital expenditures totaled €1.5 million, reflecting limited non-recurring investments in this quarter. As a result, free cash flow after investing activities was €5.7 million. And with that, I'd like to hand the call back to Brigitte.

BRIGITTE DEVETTE Chief Executive Officer

Thank you Koen. Let's now turn to page 14. I'll conclude my remarks with a discussion of our full year 2026 guidance. Notwithstanding the anticipated impact of the divestments of rapid fit and eyewear, we reaffirm our full year revenue guidance for fiscal year 2026 in the range of €273 million to €283 million. In addition, we are also maintaining our adjusted EBIT guidance for fiscal year 2026 of 10 to €12 million, reflecting our continued focus on execution discipline, cost management and capital allocation. As already mentioned during our previous earnings call in February, we expect macroeconomic and geopolitical uncertainty to persist throughout 2026. Nevertheless, we continue to have confidence in the strengths and resilience of our underlying business fundamentals as the results of the first quarter of this year have demonstrated. the strategic repositioning initiatives, targeted investments, and cost optimizations across our three business segments, and our supporting staff departments are expected to progressively support improved operational performance and profitable growth. This concludes our prepared remarks. Operator, we're now ready to open the call to questions.

OPERATOR Conference Call Operator

Certainly. As a reminder, to ask a question, please press star 1-1. To withdraw your question, please press star 11 again.

OPERATOR Conference Call Operator

One moment, please. Our first question comes from the line of Alexander Kramers with Kepler. Good morning.

ALEXANDER KRAMERS Analyst, Kepler

Can you hear me well?

BRIGITTE DEVETTE Chief Executive Officer

Yes, we can hear you. Good afternoon, Alexander.

ALEXANDER KRAMERS Analyst, Kepler

Good afternoon, Alexander from Kepler. Thank you for taking my questions. I have three. I think the first one is rather getting a sort of big glimpse of how the end markets are moving with the current market turmoil, so we get a bit of a feeling of what to expect towards H2. The second question would be on the medical segment. Last time we discussed, I think you were quite confident that the margins in medical would continue to grow or at least stay stable. So I'm a little bit surprised that the margins in medical decreased 200 bps now. So could you maybe give a rational explanation for this? And then maybe a question that is somewhat related to this. considering the high margins in medical, do you see already some increased competition? And then the last question I had for the current guidance, of course you now divested to two minor assets, but I'm just wondering whether the 10 to 12 million euros in EBIT guidance if that is based on the assumption that manufacturing is running at a negative EBITDA or is it at a positive EBITDA for the full year 2026? Thank you.

BRIGITTE DEVETTE Chief Executive Officer

Thanks, Alexander. I'll make an attempt at answering your first question and the second, and I'll point to Boon for your third question. So your question is on the end markets. So the picture on the end markets really varies. So there's a difference in the regional dynamics that we see. While we see some recovery in the U.S. markets at large, Europe is in a different place. So in Europe, the environment remains rather soft when it comes to our end markets. Now that is also particularly for the automotive industry that we still are highly active in. So the automotive industry in terms of end market remains soft in particular in Europe. Whereas we see other end markets that we are very exposed to improving sharply and continuing actually the positive dynamics that we've seen over the last couple of quarters. Think about

aerospace. So in our RS-based market, we see further investment in our end markets that also benefits the additive industry, including us. Obviously, defense is another industry where our budgets are being freed up now and where we see positive dynamics. So it's a very diverse picture where the U.S. markets We're showing a more positive trend than the European markets, and we're in end markets. We see a big difference on the one hand of the spectrum. You see the positive side, the aerospace, on the lower in software dynamics. On the other hand of the spectrum, you see the automotive industry. The healthcare market at large, globally remains a healthy environment. The exception would be academic markets where we see primarily in the US the impact of funding cuts that have been issued already last year and they continue in this year. Does that answer your first question?

ALEXANDER KRAMERS Analyst, Kepler

Yes, that does answer the first question. Yeah, go ahead. Maybe a small follow-up on the first question. Could you give us a reminder on how big aerospace and defense is in the total portfolio?

BRIGITTE DEVETTE Chief Executive Officer

I don't think we've disclosed the number in terms of the percentage of the total revenue. What I can say is that in the aerospace dynamics, we've previously communicated in the last couple of quarters that our growth was higher than 20%, and we see that confirmed this quarter as well. Maybe then shift to the medical segment and your question on the margins. Maybe on the medical segment at large, what we have previously communicated throughout 2025 for medical was that what we see structurally as a healthy and sustainable growth rate and margin rate, would be, from a top-line perspective, a low double-digit, high single-digit growth as a sustainable growth rate when we look over a couple of quarters. Whereas we see the margins kind of hovering, you know, just under 30%. So the 28% margin that we showed this quarter are more or less according to that expectation of, you know, the expectation. Forex impacts, you never know exactly where you end. But it is consistent with what we thought for a first quarter previously. Remember that there's some seasonality in our medical business where the first quarter, you know, has a very different profile from the fourth quarter typically. So that's on your margin question. And then, I mean, in the medical market, you pointed towards competitive trends and whether we see increased competition. There's always competition. We've had competition in a number of our medical segments for a while. I don't see any dramatic changes in that competitive field. Obviously, we had and we still have a head start in those markets as we built many of these markets. But it's a healthy and competitive environment, and I don't see in the first quarter specifically any changes on that. As I said, in terms of the market environment, I think the change that we observed last year and continue to observe this year in the first quarter in an increased way is the funding cuts in the US academic markets. Now, that's a smaller part of our business, but that's potentially the shift in market dynamics that is observably high. Does that answer your question? Yes, thank you. And then maybe turning to the last one.

KUHN BERGES Chief Financial Officer

I will take that one, Alexander. You're correct in stating that both divestments that we did in our manufacturing segment are on a consolidated level from a number point of view, not material. Nevertheless, that means that the divestment will put some pressure on our top line because we're losing that revenue. Now, at this stage, we believe that we will be able to absorb that gap, and that's why we keep the guidance unchanged. On the other hand, there is, of course, also an impact on our bottom line, EBIT-EBITDA, where we believe that impact will be positive, of course, over the longer term. Now, where you asked on our projection for manufacturing over 2020, our manufacturing EBITDA will become again positive this year.

BRIGITTE DEVETTE Chief Executive Officer

As we see now in the first quarter as well.

ALEXANDER KRAMERS Analyst, Kepler

Okay, very clear. Thank you very much.

OPERATOR Conference Call Operator

Thank you. As a reminder, to ask a question, please press star 11 on your telephone. And I'm sure no further questions.

OPERATOR Conference Call Operator

So with that, I'll hand the call back over to management for any closing remarks.

BRIGITTE DEVETTE Chief Executive Officer

Thanks again for joining us today. We look forward to continuing our dialogue with you through investor conferences or in one-on-one virtual meetings or calls. Now, we would like to remind you that our second quarter earnings call will be shifted to the end of August, as is also mentioned on our financial calendar published on our investor website. This is mainly due to our dual listing status, whereby we want to align our second quarter earnings update with the more extensive half-year reporting that is required from a European point of view. Now, in the meantime, please reach out if you have any questions. Thank you, and goodbye for now.

OPERATOR Conference Call Operator

Ladies and gentlemen, thank you for participating. This does conclude today's program.